



MineTrans
INSURANCE BROKERS

— 02 / INSURANCE FOR THE FLEET

A mine without its machinery *isn't a mine.*

Excavators, haul trucks, drill rigs, dozers and mobile plant represent some of the largest capital exposure on any site. They are also the equipment most exposed to breakdown, collision and operational damage.

We structure cover around the equipment list, not a generic plant schedule.

MineTrans is a division of Donaldson Group (Pty) Ltd, an authorised financial services provider, FSP No. 53166.

YELLOW METAL & MACHINERY

Four reasons a schedule *pays out short.*

Each one can be checked against your own paperwork in an afternoon.



01

The figure is last year's

A sum insured carried forward from last year's schedule is the most common reason a machinery claim settles short. Plant is bought, sold and moved between sites faster than the schedule is revisited.



02

Being wrong is not neutral. It is proportional.

Under-declaring the value can trigger average at claims stage, reducing the settlement in proportion to the shortfall. The difference is not absorbed by the insurer. It is carried by the operator, at the worst possible moment.



03

Replacement is not book value

Cover should reflect what it costs to replace with equivalent equipment delivered and commissioned at your site, not a book or trade-in figure. For imported plant that means exchange rate movement, freight and duties, which move independently of the machine.



04

The policy may not respond at all

All-risk answers sudden external damage. Machinery breakdown answers internal failure. A machine that fails internally with no external damage is a breakdown claim, so a programme carrying only all-risk leaves that exposure open.

The shortfall is not the insurer's. *It is yours.*

Declare a machine below its replacement cost and the same proportion comes off every claim against it. The gap does not appear until the day you need the money.

ON THE SCHEDULE

What the machine costs to replace		R12 000 000
What the schedule declared	R7 200 000	under-declared by 40%

The figure was carried forward and never revisited.

AT CLAIMS STAGE

The loss		R4 000 000
What the policy pays	R2 400 000	R1 600 000 carried by you

The same proportion, applied to the settlement.

WHAT PREVENTS IT

A schedule that reflects current replacement cost, per item. That is the work we do before a claim tests the figure, not after.

Illustrative example only, to show how average operates. The figures are not a quotation, a premium, or a representation of any actual claim. Cover, terms and sums insured are subject to underwriting and the policy wording.

Three ways to set the *sum insured*.

The basis you choose decides what a settlement looks like years before a claim is made. Each one answers a different question about the machine.

AGREED VALUE	MARKET VALUE	NEW REPLACEMENT
A figure fixed in advance You and the insurer agree the machine's value when the policy is written, and that figure is what responds. It removes the argument at claims stage, but it only holds if the figure was right to begin with.	What it is worth today Settlement reflects what the machine would fetch in its current condition, age and hours. It tracks the market, which also means it falls as the asset ages and may not fund a replacement.	What it costs to replace Cover set at the cost of equivalent equipment delivered and commissioned at your site. For imported plant that means allowing for exchange rate movement, freight and duties.

Under-declaring the value can trigger average at claims stage, reducing the settlement in proportion to the shortfall.

We allocate professionals to determine the *correct replacement value*.

A sum insured carried forward from last year's schedule is the most common reason a machinery claim settles short. Rather than accept a declared figure, we assign specialists to establish what each machine would actually cost to replace.



01	02	03	04
The equipment schedule is reviewed machine by machine: make, model, hours, ownership and how it is used on site.	Replacement cost is established against current supply: equivalent equipment delivered and commissioned at your site.	Imported plant is adjusted for exchange rate movement, freight and duties, which move independently of the machine.	The basis of valuation is set per item, and revisited as equipment is added, sold or moved between sites.

Built around the *equipment schedule*.

Every machine on site carries a different risk profile depending on how it's used, where it operates, and how it's owned. Cover is structured item by item, not as a blanket average.

	Yellow Metal & Mobile Equipment	Cover for excavators, haul trucks, dozers, loaders, drill rigs and graders against accidental damage, overturning, fire and theft.
	Plant & Machinery Breakdown	Mechanical or electrical breakdown of fixed and mobile plant. This is the exposure that standard asset policies typically exclude.
	Contractors' Plant & Hired-In Equipment	Cover extended to equipment brought on site by contractors, or hired in to supplement the owned fleet.
	Third-Party & Collision Damage	Damage caused by, or to, mobile equipment during operation: on site and, where relevant, on public roads.
	Consequential Loss of Use	Where a critical machine is down for repair, cover for the resulting operational impact can be structured alongside the asset.
	Basis of Valuation	Sums insured set to reflect your required replacement cost of specialised mining equipment, not depreciated book value.

Machinery risk moves. *Site risk doesn't.*

Mobile equipment operates across pits, haul roads and sometimes multiple sites, a different risk pattern to fixed site assets. Reviewing the fleet as its own category means valuations stay current as equipment is added, sold or moved between sites, and claims aren't delayed by disputes over which policy responds.

Is yellow metal covered under the mine's asset policy?

Usually not in full. Fixed plant tends to sit on the asset policy, while mobile equipment is generally rated and insured separately because it moves, operates on uneven ground and carries a different loss profile. Assuming mobile fleet is picked up by the property section is a common source of gaps.

What is the difference between breakdown and all-risk cover?

All-risk responds to sudden external physical damage: fire, impact, overturning. Machinery breakdown responds to internal failure: electrical or mechanical failure, and in many cases operator error. A machine that fails internally with no external damage is a breakdown claim, not a property claim, so a programme carrying only all-risk can leave a large exposure open.

Who insures hired-in or contractors' plant?

It depends on the contract. Many hire agreements pass responsibility for loss or damage to the hirer while the equipment is in their possession, which can leave a mine carrying risk on machines it does not own. We read the hire and contracting terms alongside the policy so that responsibility and cover line up rather than leaving a gap between them.



We quantify the interruption, *not just the asset.*

Machinery cover is one part of a programme built on a 12-step business interruption methodology and an 18-category underwriting questionnaire. The methodology documents the operation, identifies triggers and critical assets, and works through to gross profit at risk, downtime and indemnity period. It is the reason a sum insured on our schedule can be traced back to a calculation rather than an estimate.

Specialist mining & marine insurance broking across South Africa and Sub-Saharan Africa.

WHAT A REVIEW GIVES YOU

One review of your declared values against real equipment lead times. We stress-test your indemnity periods and hand you the findings, whether or not you place cover through us.

REQUEST A REVIEW OF YOUR FLEET

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